

**Time:** 5 minutes**Outcome:** Trace wage and input-price adjustment that returns output toward potential.**Difficulty:** ●●○ Intermediate

## Long-Run Macroeconomic Self-Adjustment

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### THE CORE IDEA

A recessionary gap has short-run output below potential; an inflationary gap has output above potential. With no new demand shock or discretionary policy, labor-market and input-price adjustment changes SRAS over time. Weak demand for labor in a recessionary gap reduces wage-cost pressure and shifts SRAS right; an inflationary gap raises wage-cost pressure and shifts SRAS left. Output returns toward LRAS.

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### HOW TO RECOGNIZE IT

- Compare short-run equilibrium output with the LRAS position to classify the gap.
- Below potential: wages and input costs adjust downward, shifting SRAS right.
- Above potential: wages and input costs adjust upward, shifting SRAS left.
- Self-adjustment changes SRAS; discretionary stabilization deliberately shifts AD.

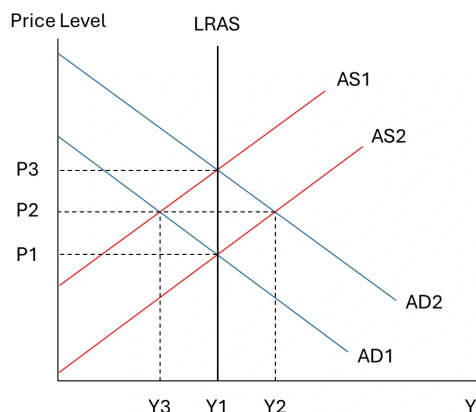
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### WATCH OUT

Do not assume aggregate demand must reverse itself. In the textbook self-correction mechanism, wage and input-price adjustment shifts SRAS along the existing AD curve.

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### WORKED EXAMPLE: CLOSING A RECESSIONARY GAP



After AD falls to AD1, the short-run equilibrium is Y3, left of LRAS at Y1. Elevated unemployment reduces wage and input-cost pressure, shifting SRAS from AS1 to AS2. The economy moves along AD1 to Y1 at the lower price level P1 without discretionary policy.

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### CHECK YOURSELF

Output is above potential and AD is unchanged. Which direction must SRAS move during self-adjustment?

**READY?****Return to the game and master this concept.**